

Equity Strategy

What would it take for Europe to trade relatively better?

- At the overall equity level, we continue to recommend to use the dips caused by adverse geopolitical news to add into, but have also **advised two weeks ago to start looking at Low Vol** part of the market - see [report](#). We argued that **this group of stocks is likely to find support irrespective of where bond yields go from here**, ie, even if they move up. Further into 2nd half, the wildcards for more market gains are the prospect of a turn dovish by Fed, something which is right now clearly very much out of consensus, materially lower oil prices by this time next year, and potential green shoots in China.
- European indices, both **SX5E and SXXP, have rebounded nicely** from the Iran conflict driven lows, to currently trade near the highs of the year. The question is **what would be needed for these to make a clear breakout** in 2H.
- Relatively, the Iran conflict has likely hurt European prospects more than other regions, and **our call in March to go back to Mag-7 is clearly at the disadvantage of Europe**. Near term, **Iran conflict retains a potential to escalate**, even as we believe both sides have an incentive to come to terms eventually. As the top chart shows, Eurozone has lagged since the conflict began, and this might not change imminently.
- Having said that, **as we move through 2H, we think Europe is set to break out to fresh highs**, we keep SX5E end year target of 6350, set last November in our [Year Ahead](#), and believe that the region could even show spells of outperformance, especially if Mag-7 shows more sustained rollovers, and once Iran conflict risks subside.
- Beyond AI trade and geopolitics considerations, ECB is likely to tighten this week, but we do not expect this to lead to a series of hikes, nothing along the lines of what transpired in 2022. **Then, European real yields were record low, opposite to current levels**, so ECB had to catch up. This is not the case at present, and multiple hikes might not be warranted given soft activity and oil price impact on inflation that could mechanically drop out quickly, with wage growth that keeps moving lower. **Increasing confidence that rates and yields are not likely to spike could help the region perform.**
- Eurozone earnings didn't grow at the headline level for 3 years. That is set to change**, especially if the Iran situation improves, as then the present step back in Eurozone PMIs should recover quickly. The relative Eurozone-US activity spread is near wides, such as 100 point plus CESI differential. The drivers of this divergence are real and well known, but this could be as extreme as it gets. On the positive side, despite PMI softness, **regional credit growth is improving, and car sales are up for 3 months now.**
- Eurozone positioning is subdued, much like it was last January, just ahead of the rally** - see middle chart. Eurozone forward P/E at 15x is far from demanding, especially if earnings perform better. Our PB data shows investor positioning in the region is low, at 36th percentile. **If China performs better, Europe could benefit. Some increased traction on German stimulus would help, and any improvement on the Russia - Ukraine front, as well.**

Equity Strategy

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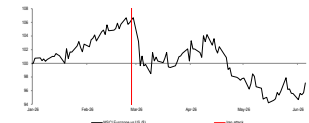
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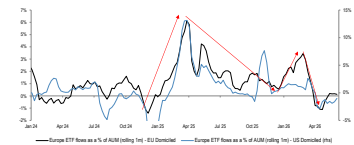
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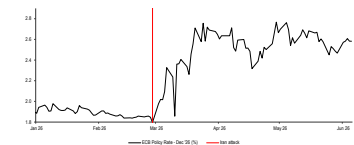
Eurozone started to lag once the Iran conflict began... clarity on this front could help the region perform better again...



...we note that Eurozone positioning has moved to the lows of last January, just ahead of breakout driven by German stimulus news...



...while ECB likely hikes this week, it would be helpful for the region if some of the tightening that is already priced in is taken out



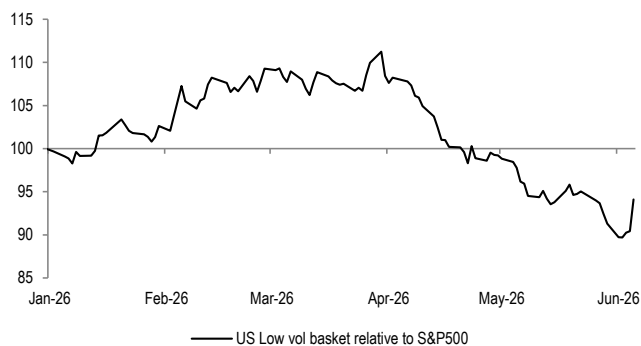
Source: J.P. Morgan, Bloomberg Finance L.P., Datastream

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What would it take for Europe to trade relatively better?

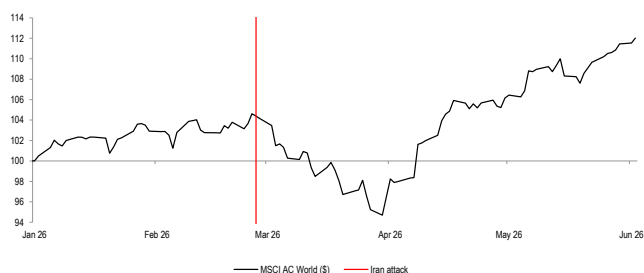
Figure 1: U.S. Low Vol basket relative to S&P500



Source: Bloomberg Finance L.P.

Two weeks ago, we [argued](#) that low-volatility stocks could begin to outperform regardless of the direction of bond yields. Notably, low-volatility stocks rose in absolute terms even as the S&P 500 saw a sharp pullback last Friday.

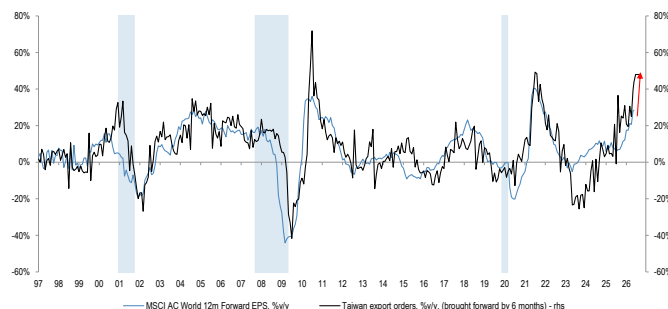
Figure 2: MSCI AC World ytd



Source: Datastream

Looking beyond the near-term volatility, we remain constructive on equities at the overall market level. Global markets have staged a sharp rebound from the geopolitical trough triggered by the Iran escalation, pushing the MSCI World to new highs with gains of roughly 12% so far this year. This has been supported by corporates continuing to beat on earnings, hyperscaler AI spending is providing a structural growth impulse, yields have stayed within a manageable range, and long-term inflation expectations remain well-anchored. Beyond our base case, there are several factors that could drive further upside. Notably, a more pronounced decline in government bond yields, a significant drop in crude prices over the next twelve months, or early signs of a Chinese economic recovery gaining traction.

Figure 3: MSCI World 12m forward EPS and Taiwan Export Orders

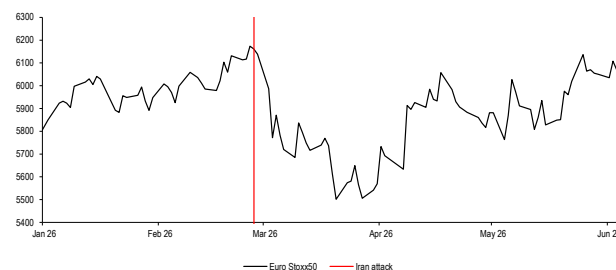


Source: IBES, J.P. Morgan

Lead indicators continue to point to an acceleration in global earnings. Taiwan export orders, which have historically led global EPS revisions by approximately 6 months, are running at elevated levels, suggesting the ytd acceleration has further to go. We believe the earnings backdrop remains one of the strongest supports for equities from here.

European indices are near highs

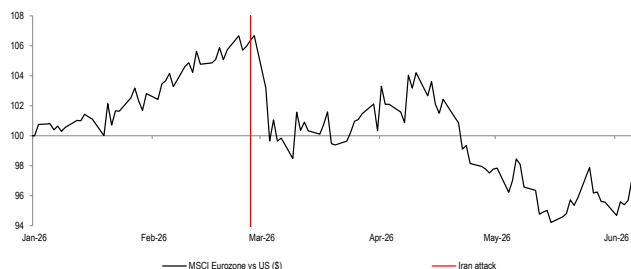
Figure 4: Euro Stoxx 50 ytd



Source: Bloomberg Finance L.P.

European indices have rebounded nicely from the Iran conflict driven lows. The Euro Stoxx 50 is currently trading near the highs of the year, having recovered the entirety of the 11% drawdown experienced in March. Similarly, the Stoxx 600 is within 2% of its all-time high. The question investors are asking is what would be needed for these indices to make a clear breakout to fresh highs. We believe the answer lies in a combination of factors including easing geopolitical uncertainty, confirmation that ECB tightening will be limited, and an inflection in Eurozone earnings momentum.

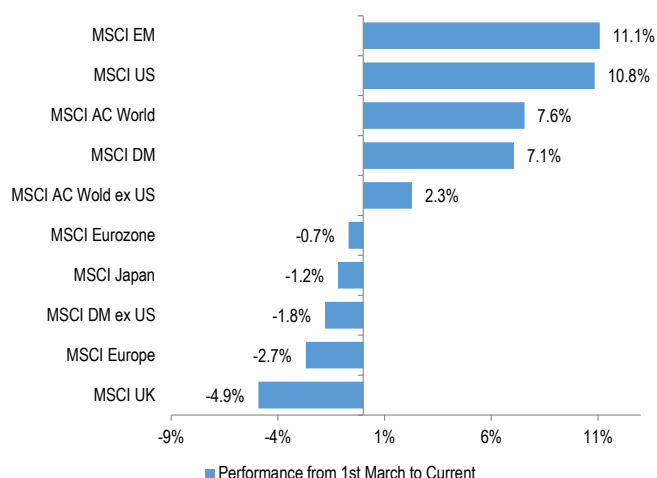
Figure 5: MSCI Eurozone vs US (\$) ytd



Source: Datastream

The Iran conflict has disproportionately weighed on European equities relative to other regions, and our March pivot back toward Mag-7 has come at Europe's expense. Since late February, the Eurozone has lagged the US by roughly 11% in dollar terms. In the near term, we continue to see greater upside potential in Mag-7, and while we believe both parties are ultimately incentivised to reach a resolution, the risk of further escalation in the Iran situation remains live. As such, this relative underperformance of Europe versus the US is unlikely to reverse in the immediate term.

Figure 6: Key regions - Performance (\$) from 1st March to current

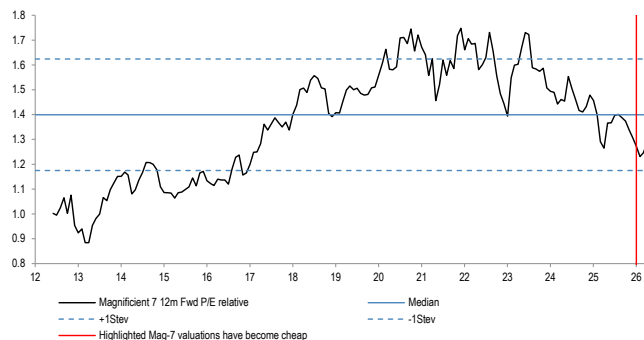


Source: Datastream

Since the onset of the conflict, Eurozone equities have underperformed not only relative to the US but also versus other international markets, including emerging markets.

Near term, Mag-7 valuations still remain attractive

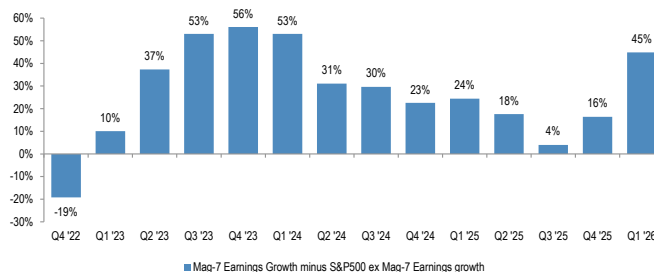
Figure 7: Mag7 12m Fwd P/E relative



Source: IBES

We flagged in March that Mag-7 valuations had moved to the cheapest level in 10 years on a relative P/E basis. The subsequent rally has validated this call. Strong Tech earnings and capex announcements have reignited the AI monetisation narrative. We see further near-term upside for the group.

Figure 8: Mag-7 Earnings Growth minus S&P500 ex Mag-7 Earnings growth



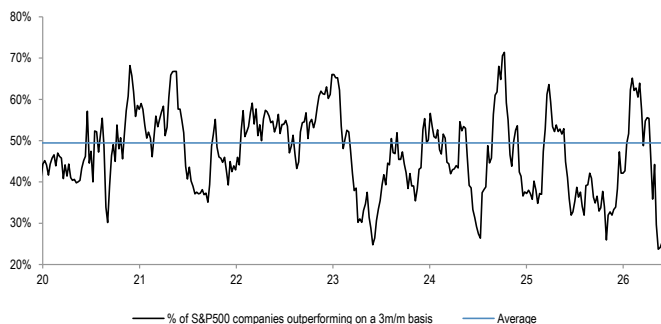
Source: IBES

The cohort is further underpinned by the increasingly divergent earnings trajectory between the Mag-7 and the remainder of the S&P 500.

Markets have increasingly rotated into the Technology sector as an uncorrelated trade, offering insulation from the prevailing geopolitical uncertainty.

European equities could trade better in 2H

Figure 9: S&P500 proportion of stocks outperforming on a 3 months lookback



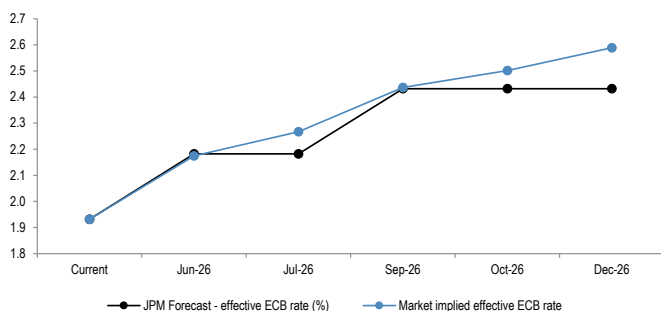
Source: Datastream

The sustained outperformance of technology stocks has been the primary driver behind the S&P 500's remarkable rally. However, such narrow market breadth inevitably raises questions around the sustainability.

We expect market leadership to broaden over the coming months, though in the very near term the Technology-led advance is likely to persist. As we progress through the second half, we see Europe poised to break out to new highs. We maintain our SX5E year-end target of 6,350, established last November in our Year Ahead outlook, implying approximately 5% upside from current levels. We believe the region could deliver periods of relative outperformance, particularly if Mag-7 momentum begins to fade and once the overhang from Iran conflict risks dissipates.

ECB Tightening Will Be Limited

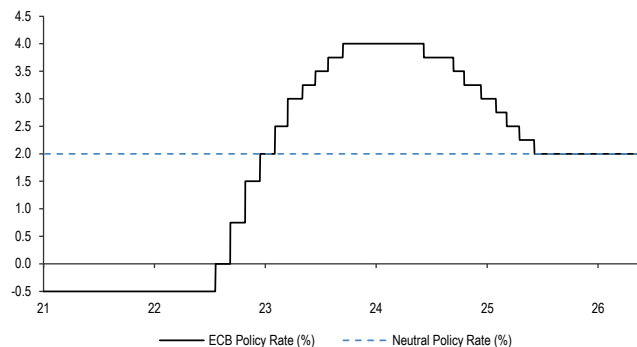
Figure 10: JPM and Market implied - ECB Policy rate forecast



Source: J.P. Morgan, Bloomberg Finance L.P.

While the ECB is likely to tighten this week, we do not expect this to lead to a series of hikes, nothing along the lines of 2022.

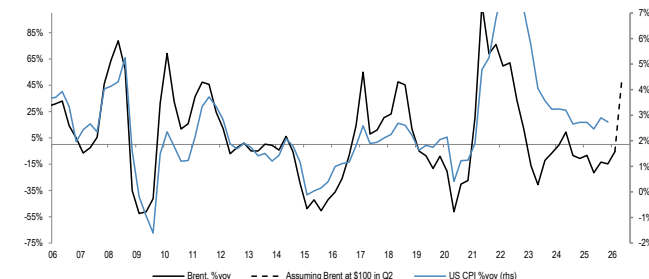
Figure 11: ECB Policy Rate since Jan '21



Source: Bloomberg Finance L.P.

In 2022, the ECB rate was outright negative at -0.5%, well below neutral, and PEPP was still ongoing. At present, the policy rate is at 2.0%, largely in line with neutral.

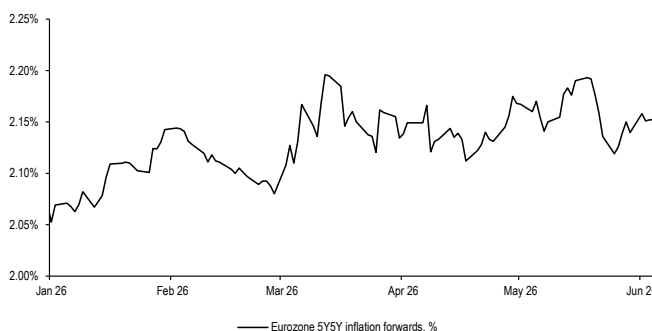
Figure 12: Brent and US CPI



Source: Bloomberg Finance L.P., J.P. Morgan.

We do not think that multiple hikes are warranted given soft activity and the mechanical nature of the oil price impact on inflation, which could drop out quickly.

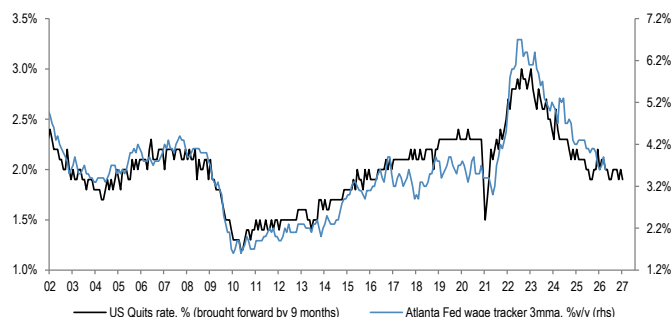
Figure 13: Eurozone 5Y5Y inflation forwards, %



Source: Bloomberg Finance L.P.

Inflation forwards have already come off the recent highs.

Figure 14: US Quits rate and Atlanta Fed wage tracker

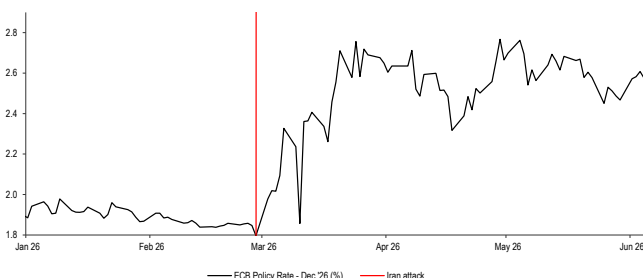


Source: Bloomberg Finance L.P.

A key difference we have been flagging between now and 2022 is the wage backdrop. Going into 2022, wage growth was picking up sharply. Combined with Covid-era supply disruptions and tight labour supply, this drove inflation higher and forced central banks into aggressive rate hikes.

Higher oil prices will mechanically push up inflation and we have already seen US headline CPI tick higher. But it is not obvious that central banks need to hike rates in response to what is essentially a demand-destructive shock. Our medium-term view is still that yields are more likely to head lower. Against that backdrop, we see an opportunity in the low-volatility trade: prior underperformance has created a better entry point, the setup should hold up across a wide range of macro outcomes, and it does not depend on market direction.

Figure 15: ECB Policy Rate - Dec '26

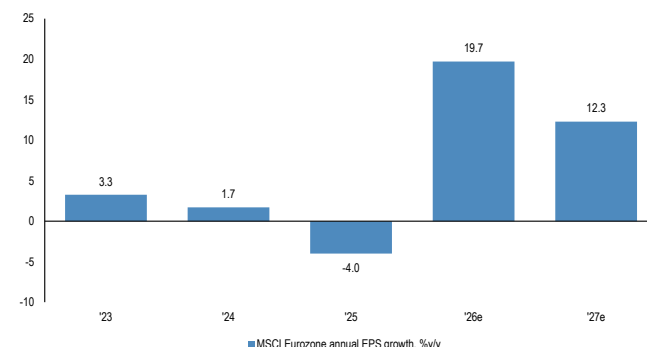


Source: Bloomberg Finance L.P.

Markets have priced in approximately 70bp of ECB tightening since the Iran conflict began. We believe this hawkish repricing is set to partially unwind. The oil price impact on headline inflation is a supply shock, not a demand-pull phenomenon, and hikes risk being viewed as a policy mistake. Any evidence of a more measured ECB approach could serve as a positive catalyst for European equities.

Eurozone earnings could be supportive going forward

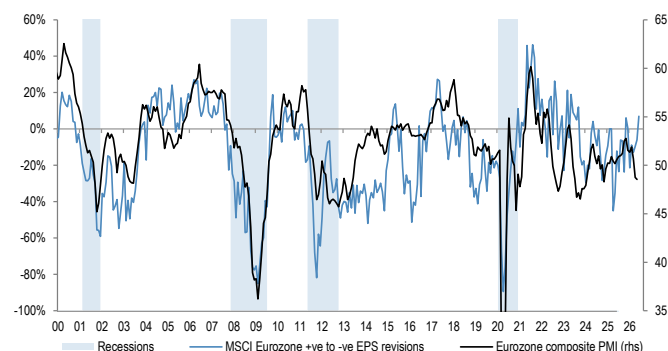
Figure 16: MSCI Eurozone annual EPS growth



Source: IBES

Eurozone earnings didn't grow at the headline level for three years. That looks set to change. Consensus projects 2026 EPS growth of approximately 20% for the Eurozone, driven by recovery in Autos, Materials, and Financials. Even haircutting for the Iran conflict impact, the direction of travel is clearly positive.

Figure 17: Eurozone composite PMI and EPS revisions



Source: IBES, S&P Global

If the Iran situation improves, we believe that Eurozone PMIs will recover quickly. The Composite PMI softened from 51.9 in February (pre-conflict) to 48.5 currently. Manufacturing PMI at 51.6 is notably above the sub-50 readings that persisted through much of 2023 and 2024. We see the current softness as temporary and conflict-driven rather than structural.

Table 1: MSCI Europe 2026 and 2027 EPS growth

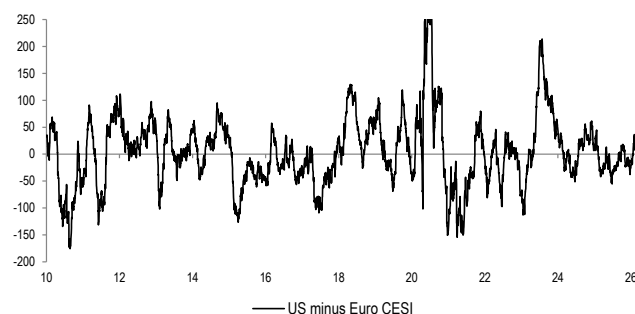
	EPS Growth	
	2026	2027
MSCI Europe	19.7%	12.3%
Energy	52.6%	-10.1%
Materials	12.1%	15.1%
Chemicals	9.0%	10.7%
Construction Materials	6.1%	10.5%
Metals & Mining	26.2%	36.7%
Industrials	8.2%	16.5%
Capital Goods	9.3%	17.6%
Business Services	6.0%	9.5%
Transport	2.2%	11.8%
Discretionary	272.4%	21.4%
Automobile	-	25.4%
Consumer Durables	7.3%	17.8%
Media	5.2%	9.4%
Retailing	13.1%	15.6%
Hotels, Restaurants & Leisure	-0.5%	24.4%
Staples	4.3%	8.2%
Food & Drug Ret	7.0%	8.4%
Food Bev & Tob	3.0%	8.7%
HPC	5.3%	7.1%
Healthcare	4.0%	10.6%
Financials	10.0%	11.2%
Banks	8.6%	12.8%
Diversified Financials	29.0%	12.3%
Insurance	7.9%	7.0%
Real Estate	-0.6%	2.6%
IT	22.3%	28.8%
Software	11.4%	17.3%
Tech Hardware	15.6%	16.9%
Semicon	31.2%	37.2%
Comm. Services	9.9%	14.2%
Telecom	11.3%	15.5%
Utilities	3.5%	6.4%

Source: IBES

The breadth of the earnings recovery is notable. Beyond the mechanical bounce in Autos and Energy, we see genuine acceleration in Industrials, IT, and Materials, sectors that benefit from the capex cycle, AI buildout, and improving China demand.

The wide gap between US and Eurozone growth trends may start to narrow

Figure 18: US minus Euro CESI



Source: Bloomberg Finance L.P.

The relative Eurozone-US macro backdrop is near wide, with the CESI spread at approximately -100 points. The drivers are well known and real, but this could be as extreme as it gets. Historically, CESI spreads of this magnitude have tended to mean-revert within 3 to 6 months, as the lagging region benefits from lower expectations.

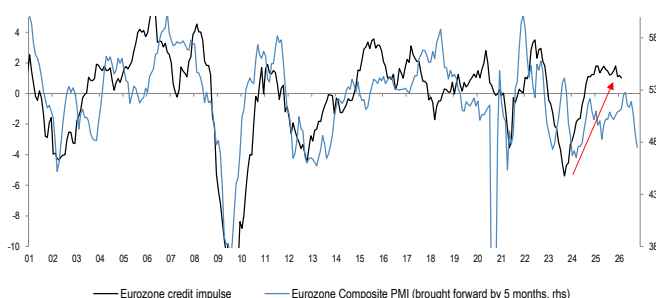
Figure 19: MSCI Eurozone 12m Fwd EPS relative to US (\$) - deviation from trendline



Source: IBES

Eurozone earnings have been lagging the US and are at the weakest level since late 2022, setting up an attractive base for a catch-up trade.

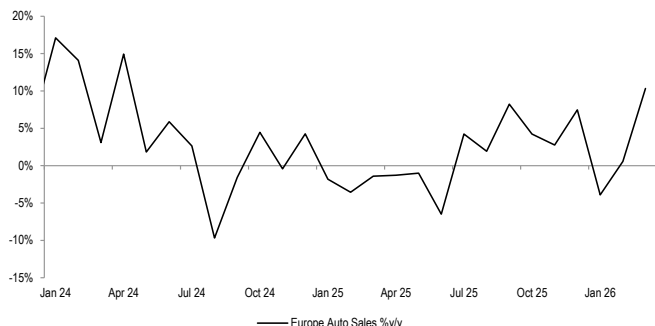
Figure 20: Eurozone credit impulse and Composite PMI



Source: S&P Global, J.P. Morgan

On the positive side, despite PMI softness, regional credit growth is improving. Eurozone bank lending to corporates has turned positive after an extended period of contraction.

Figure 21: Europe Auto Sales

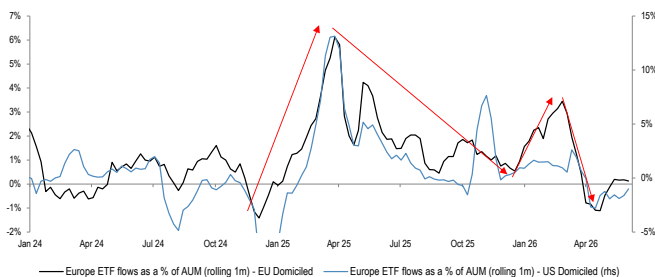


Source: Bloomberg Finance L.P.

Car sales are up for 3 consecutive months now, suggesting the consumer is not as impaired as sentiment surveys imply. We see these as early signs that the domestic economy is finding a floor.

Positioning is subdued

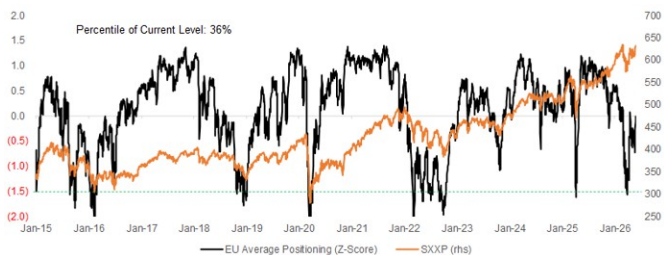
Figure 22: Europe ETF Flows as a % of AUM - by EU and US domiciled ETFs



Source: EPFR

Eurozone positioning has fallen back to levels last seen in January '25, just ahead of the rally.

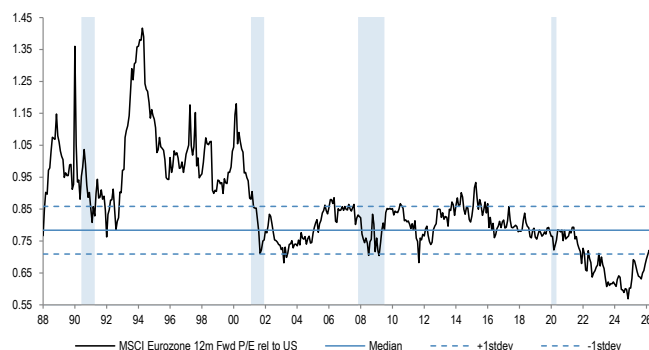
Figure 23: EU aggregate positioning and flows



Source: JPM Positioning Intelligence team

Our Prime Brokerage data also shows that investor positioning in the region is low, at the 36th percentile.

Figure 24: MSCI Eurozone 12m Fwd PE relative to US



Source: IBES

Encouragingly, Eurozone P/E relative to the US is trading at a discount, at 15x forward P/E versus approximately 21x for DM, this represents a 30% discount vs 20% historical median discount. At an absolute 15x forward P/E, the space is far from demanding, especially if earnings perform better this year.

China activity indicators see improving momentum

Figure 25: Eurozone Manufacturing PMI and China M1

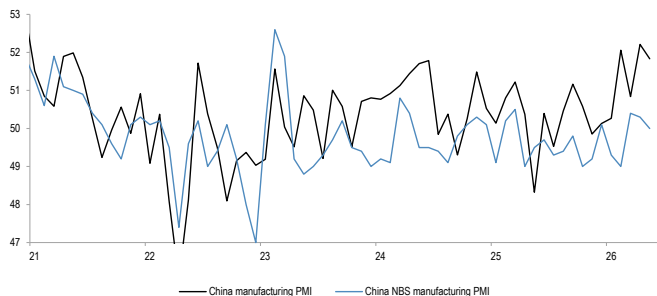


Source: J.P. Morgan,

Bloomberg Finance L.P.

China's money supply leads Eurozone manufacturing activity by around 3 months. As Chinese liquidity conditions improve, European activity and earnings should follow.

Figure 26: China Manufacturing PMI



Source: J.P. Morgan.

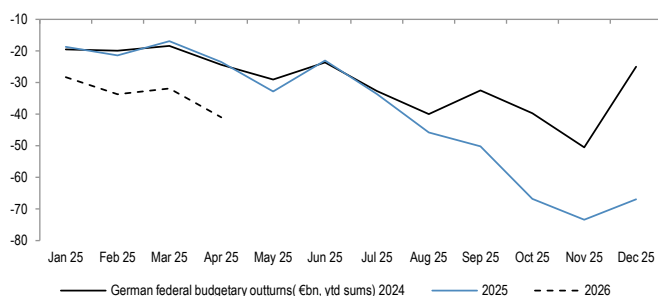
Chinese PMIs have also been recovering. Domestic demand is stabilising, and the manufacturing sector is showing early signs of a broader pickup. If this momentum is sustained, European earnings revisions could turn meaningfully positive.

German fiscal spending has been weak so far, but the pipeline is building

German infrastructure spending has disappointed in the early stages. Through April, only €11 billion of the €40 billion earmarked for 2026 has been deployed (roughly 28% of the annual allocation). Last year was similar with authorities spending €24 billion of a planned €37 billion. The shortfalls span across broadband expansion, rail network upgrades and broader transport infrastructure.

The shortfall occurred mainly because the planning process is lengthy, bureaucracy is entrenched, and the 2025 election cycle delayed the legislative framework from taking effect until late last year. However, these are now being addressed. Merz's government has introduced fast-track legislation for projects of overriding public interest, and the Finance Ministry has explicitly urged departments to accelerate disbursements.

Figure 27: German federal budgetary outturns



Source: J.P. Morgan.

Early signs of acceleration are starting to emerge. By April, the cumulative federal deficit was already €18 billion wider than at the same point last year, which is already half of the full year widening implied by the 2026 budget. The fiscal plan is targetting a €98 billion deficit in 2026 versus an actual €65 billion deficit in 2025, implying a planned widening of €33 billion. 2026 trajectory is beginning to diverge meaningfully from prior years.

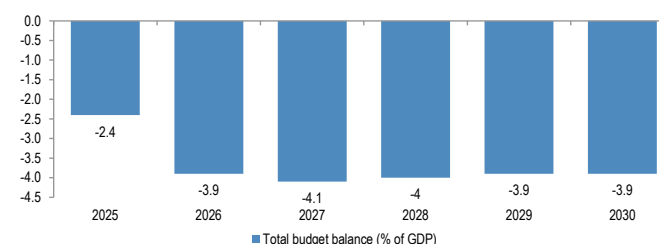
Table 2: German fiscal policy outlook % of GDP

	2024	2025	2026	2027
GDP, real (%oya)	0.5	0.3	0.9	1.5
Budget balance (1)	-2.7	-2.7	-4.2	-4.2
€bn	-115	-119	-195	-203
Interest expense (2)	1.1	1.1	1.2	1.3
Cyclical and one-offs (3)	-0.9	-1.0	-0.8	-0.4
Structural primary (1+2-3)	-0.7	-0.6	-2.2	-2.6
Change in structural primary	0.5	0.1	-1.6	-0.4
Debt	62.2	63.5	65.7	67.7
memo: Output gap	-1.7	-1.9	-1.6	0.0

Source: J.P. Morgan.

The broader fiscal picture reinforces this. Germany's structural primary deficit is set to widen from -0.6% of GDP in 2025 to -2.2% in 2026 and -2.6% in 2027; a fiscal easing of around 2% of GDP over two years.

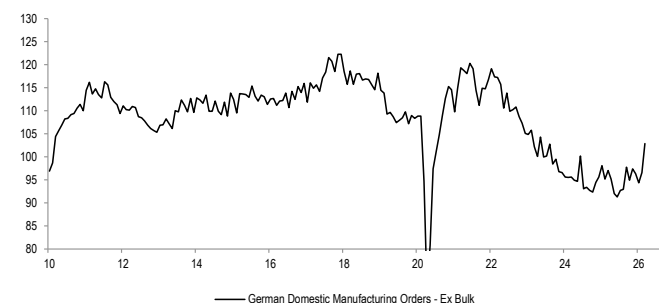
Figure 28: Germany total budget balance



Source: J.P. Morgan.

The total federal deficit, including Special Funds, is projected to remain at around 4% of GDP through 2030.

Figure 29: German Domestic Manufacturing Orders - Ex Bulk



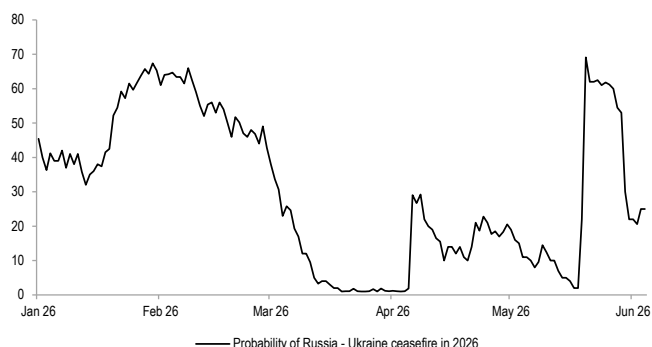
Source: J.P. Morgan.

We are seeing an inflection in total domestic orders ex bulk orders (largely defense), indicating a broad-based demand recovery. This is an encouraging sign that the fiscal impulse is feeding through into the real economy.

The key point is that the €500 billion fund is real, and the issue so far has been timing and not commitment. Finance Ministry estimates suggest Special Fund for Infrastructure and Climate Neutrality (SVIK) spending alone could lift GDP by 0.5%. With Germany forecast to grow just 0.8% this year,

public infrastructure investment is one of the key areas of recovery. Markets have largely faded this trade and we think that is a mistake. As spending accelerates into 2027 and 2028, the delta from here is likely to be more significant.

Figure 30: Probability of Russia - Ukraine ceasefire in 2026



Source: Bloomberg Finance L.P.

On geopolitics, the expectation of a Russia-Ukraine ceasefire remains low. Consensus has moved from expecting an imminent resolution to pricing in a multi-year conflict. We would be contrarian on this and expect some form of resolution to materialise, and if it does, European equities would be a key beneficiary.

Equity Strategy Key Calls and Drivers

We have consistently argued since the second half of March to use the equity weakness brought on by the Iran conflict to buy into. To be clear, the headline risk remains, with potential need to escalate in order to de-escalate, but we do not see a sustained softness, and continue to believe that both sides have interest in coming to terms. We have in March also highlighted that Mag-7 has started to trade at its cheapest in 10 years, and that the AI-at-risk group of stocks has already crashed, becoming record cheap. While we do not necessarily expect a repeat of 2025, when the equity rally was almost exclusive to Mag-7 for most of the 2H, we believe there is more upside for Mag-7 over the next months, as earnings are more than compensating for the stocks' rebound. We also find the EM memory trade has legs, as meaningful supply additions are not coming before the start of 2028. Stay OW EM equities. With MXWO and MXEF at fresh highs, having more than V-shaped, is the downside risk greater than the upside one from here? We think further upside is likely as investor positioning is lighter currently than pre-conflict, P/Es are lower, we remain very bullish on the broad earnings outlook, with lead indicators pointing to continued acceleration. Further, equities are not all that complacent beneath the surface – current market breadth is very narrow – we think this is a good sign this time around, as the rally to date was more driven by AI, an orthogonal trade to geopolitics, and nearly all consumer plays are still at lows. This can change, with broadening in participation in 2H. We do not expect bond yields to rise in 2H, we see big differences from the 2022 template, and do not see stagflation as the most likely outcome for 2H. Wage growth is moving lower this time around, and corporates are unlikely to exhibit sustained pricing power, with AI anxiety an overhang on sentiment in labour markets, as well. While some hikes can happen, we think the magnitude that the market is already pricing in is likely to reduce.

Table 3: J.P. Morgan Equity Strategy — Factors driving our medium-term views

Driver	Impact	Our Core Working Assumptions	Recent Developments
Global Growth	Neutral	Hard labour market data has been a bright spot, but that can change quickly	Global composite PMI is at 51.8
European Growth	Positive	Fiscal policy changes and energy inflation to drive GDP revisions	Eurozone Manufacturing PMI is at 51.6
Monetary Policy	Neutral	Fed on pause	
Currency	Neutral	Longer term bearish dollar view intact	
Earnings	Positive	Eurozone earnings set to improve in 2026	2026 EPS projections are improving
Valuations	Negative	At 21x, U.S. forward P/E is still stretched, especially vs real yield	MSCI Europe on 14.7x Fwd P/E
Technicals	Neutral	Sentiment indicators appear close to oversold now, though positioning is still stretched	Households' equity weight as a share of total assets is at record high

Source: J.P. Morgan estimates

Table 4: Base Case and Risks

Scenario	Assumption
Upside scenario	Fed on pause while inflation remains in check and growth is stronger
Base-case scenario	Economic growth, inflation remains sustainable and Fed policy rate on hold, Geopolitical uncertainty subsides
Downside scenario	Fed hikes rates with inflation picking up. Geopolitical uncertainty escalates further

Source: J.P. Morgan estimates.

Table 5: Index targets

	Dec '26 Target	03-Jun-26	% upside
MSCI EUROZONE	385	374	3%
FTSE 100	10,300	10,332	0%
MSCI EUROPE	2,530	2,469	2%
DJ EURO STOXX 50	6,350	6,054	5%
DJ STOXX 600 E	630	621	1%

Source: J.P. Morgan

Table 6: Key sector calls

Overweight	Neutral	Underweight
Mining	Utilities	Energy
Capital Goods	Healthcare	Media
Semis	Autos	Staples
Construction Materials	Telecoms	Insurance
Luxury	Real Estate	
	Chemicals	
	Banks	
	Technology Hardware	

Source: J.P. Morgan.

Table 7: J.P. Morgan Equity Strategy — Key sector calls*

Sector	Recommendations	Key Drivers
Metals & Mining	Overweight	Preferred on a constructive China impulse and bearish USD backdrop (with "spot gap" now tighter), with China activity the key wildcard.
Cap Goods	Overweight	Supported by a constructive capex/electrification outlook, favoring parts of Industrials tied to investment spend.
Semis	Overweight	Expected to stabilize/benefit as the China/EM upswing helps previously China-exposed cyclical and underperformers recover.
Media	Underweight	Likely to keep struggling regardless of near-term activity resilience, given ongoing AI-related disruption (though tactical bounces are possible after derating).
Software	Underweight	Similarly pressured by the AI threat and likely to remain a laggard structurally, even if oversold conditions drive intermittent rallies.

Source: J.P. Morgan estimates. * Please see the last page for the full list of our calls and sector allocation.

Table 8: J.P. Morgan Equity Strategy — Key regional calls

Region	Recommendations	J.P. Morgan Views
EM	Overweight	EM are underowned, valuations are cheap, seeing accelerating inflows, reduced China trade headwinds, China policy support
DM	Underweight	
US	Neutral	Crowded positioning, full valuations and AI commoditization risk, may not be regional outperformer
Japan	Neutral	Fundamentals remain solid, reforms/buybacks/wage gains help, but had big rally, fuller valuations
Eurozone	Overweight	Improving credit impulse and expected earnings rebound (if conflict doesn't extend in 2H)
UK	Neutral	Structurally cheap with high dividends and lower AI/trade sensitivity - useful in risk-off - but lacks near-term growth catalysts

Source: J.P. Morgan estimates.

Top Picks

Table 9: J.P. Morgan European Strategy: Top European picks

Name	Ticker	Sector	Price	Currency	Market Cap (€ Bn)	EPS Growth			Dividend Yield	12m Fwd P/E			Performance	
						25	26e	27e	26e	Current	10Y Median	% Premium	-3m	-12m
AEGON LTD	AGN NA	Financials	7	E	11.4	-18%	68%	0%	4.8%	7.3	6.8	7%	18%	14%
AIB GROUP PLC	AIBG ID	Financials	10	E	21.2	0%	-7%	10%	3.6%	11.2	10.9	2%	19%	43%
ALSTOM	ALO FP	Industrials	17	E	8.0	-	-	-	1.4%	9.3	17.1	-46%	-34%	-11%
ANHEUSER-BUSCH INBEV SA/NV	ABI BB	Staples	69	E	138.5	6%	16%	11%	1.3%	17.6	18.0	-2%	5%	10%
ARGENX SE	ARGX BB	Health Care	695	E	43.2	3977%	36%	31%	0.0%	26.8	-24.0	-	8%	36%
ASML HOLDING NV	ASML NA	IT	1485	E	576.5	28%	27%	35%	0.4%	41.3	29.2	42%	28%	127%
ASTRAZENCA PLC	AZN LN	Health Care	13210	£	237.0	12%	12%	13%	1.7%	16.5	18.1	-9%	-12%	24%
BABCOCK INTL GROUP PLC	BAB LN	Industrials	1032	£	5.9	64%	-1%	31%	0.5%	15.9	8.9	79%	-25%	1%
BARCLAYS PLC	BARC LN	Financials	460	£	72.1	27%	8%	22%	1.8%	8.0	7.3	10%	9%	40%
BAYERISCHE MOTOREN WERKE AG	BMW GR	Discretionary	72	E	43.9	2%	-13%	15%	6.0%	6.5	7.1	-8%	-13%	-7%
BT GROUP PLC	BT/A LN	Telecoms	203	£	23.4	1%	-4%	6%	3.9%	10.9	8.3	31%	-3%	15%
CIE FINANCIERE RICHEMO-A REG	CFR SW	Discretionary	165	SF	106.2	-1%	-2%	13%	1.5%	25.2	22.0	14%	16%	7%
CONTINENTAL AG	CON GR	Discretionary	71	E	14.2	1%	-17%	14%	3.5%	10.1	9.7	4%	5%	25%
DSV A/S	DSV DC	Industrials	1596	DK	51.3	-1%	29%	31%	0.4%	21.4	22.9	-6%	0%	3%
FRAPORT AG FRANKFURT AIRPORT	FRA GR	Industrials	69	E	6.3	-4%	-23%	7%	0.0%	18.2	15.2	20%	-10%	12%
FRESENIUS SE & CO KGAA	FRE GR	Health Care	36	E	20.2	13%	2%	7%	2.8%	9.7	12.2	-21%	-26%	-18%
FRESNILLO PLC	FRES LN	Materials	3168	£	27.0	465%	62%	-1%	0.6%	12.8	20.2	-36%	-19%	156%
INDUSTRIA DE DISEÑO TEXTIL	ITX SM	Discretionary	53	E	166.6	9%	-	-	2.9%	23.8	22.8	4%	3%	13%
JERONIMO MARTINS	JMT PL	Staples	18	E	11.2	8%	16%	15%	3.3%	14.1	20.0	-30%	-17%	-19%
LEONARDO SPA	LDO IM	Industrials	51	E	29.4	15%	50%	20%	1.0%	20.0	9.7	106%	-12%	-7%
MARKS & SPENCER GROUP PLC	MKS LN	Staples	368	£	8.8	31%	-26%	44%	0.8%	11.1	11.2	0%	-1%	-2%
NOKIA OYJ	NOKIA FH	IT	15	E	85.0	-26%	16%	17%	0.9%	41.3	14.6	182%	120%	218%
NOVONESIS (NOVOZYMES) B	NSISB DC	Materials	366	DK	23.0	16%	34%	10%	1.1%	23.7	28.7	-18%	0%	-20%
ORANGE	ORA FP	Telecoms	18	E	47.1	5%	19%	12%	4.1%	16.5	10.4	58%	-1%	39%
PRUDENTIAL PLC	PRU LN	Financials	1055	£	30.7	13%	17%	21%	1.6%	11.0	10.8	2%	-2%	23%
RWE AG	RWE GR	Utilities	57	E	42.5	-21%	8%	19%	1.8%	19.7	14.3	38%	6%	71%
SAIPEM SPA	SPM IM	Energy	4	E	8.6	0%	51%	34%	3.8%	16.7	15.9	5%	32%	92%
SAP SE	SAP GR	IT	156	E	191.6	37%	19%	16%	1.4%	20.0	21.7	-8%	-8%	-42%
SEGRO PLC	SGRO LN	Real Estate	713	£	11.2	6%	5%	5%	4.1%	18.5	25.6	-28%	-10%	4%
SIEMENS AG-REG	SIE GR	Industrials	274	E	214.8	17%	-10%	14%	1.9%	23.1	15.0	53%	20%	28%
SIEMENS ENERGY AG	ENR GR	Industrials	159	E	138.8	-	164%	37%	0.0%	29.7	30.4	-2%	2%	79%
SMURFIT WESTROCK PLC	SWR LN	Materials	42	US\$	19.0	-15%	20%	31%	4.3%	15.1	14.0	8%	-7%	-2%
SSE PLC	SSE LN	Utilities	2336	£	32.7	13%	-7%	22%	2.6%	12.5	12.2	2%	-11%	33%
STANDARD CHARTERED PLC	STAN LN	Financials	2012	£	51.2	36%	0%	22%	1.4%	11.1	9.1	22%	20%	76%
TECHNIP ENERGIES NV	TE FP	Energy	35	E	6.2	-6%	16%	34%	2.4%	12.9	10.3	25%	0%	1%
UNILEVER PLC	ULVR LN	Staples	4120	£	103.1	-8%	4%	7%	4.2%	14.5	18.4	-21%	-20%	-17%
UNIVERSAL MUSIC GROUP NV	UMG NA	Telecoms	19	E	35.3	7%	0%	11%	2.7%	17.9	24.8	-28%	2%	-29%

Source: Datastream, MSCI, IBES, J.P. Morgan, Prices and Valuations as of COB 3rd Jun, 2026. Past performance is not indicative of future returns.

Please see the most recent company-specific research published by J.P. Morgan for an analysis of valuation methodology and risks on companies recommended in this report. Research is available at <http://www.jpmorganmarkets.com>

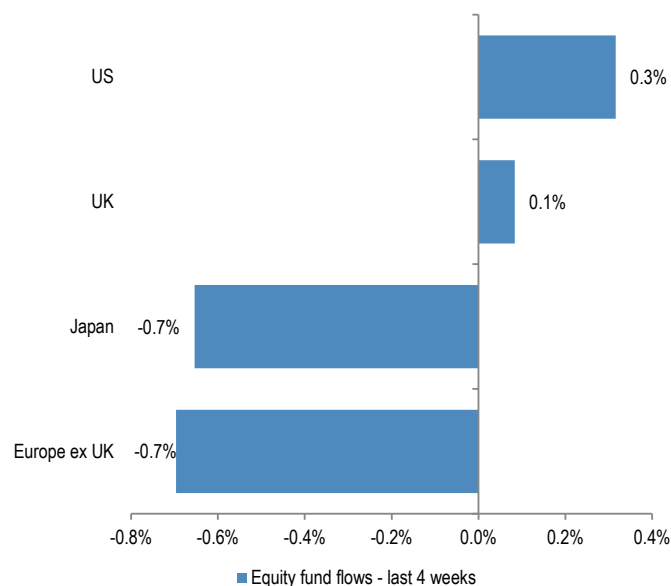
Equity Flows Snapshot

Table 10: DM Equity Fund Flows Summary

Regional equity fund flows										
	\$mn					% AUM				
	1w	1m	3m	YTD	12m	1w	1m	3m	YTD	12m
Europe ex UK	-786	-3,267	-8,812	-6,404	773	-0.2%	-0.7%	-1.8%	-1.4%	0.2%
UK	127	272	-2,597	-5,290	-22,860	0.0%	0.1%	-0.8%	-1.7%	-7.8%
US	8,459	49,177	147,133	183,964	417,209	0.1%	0.3%	1.0%	1.3%	3.4%
Japan	-8,200	-7,513	3,502	11,828	-7,408	-0.7%	-0.7%	0.3%	1.2%	-0.8%

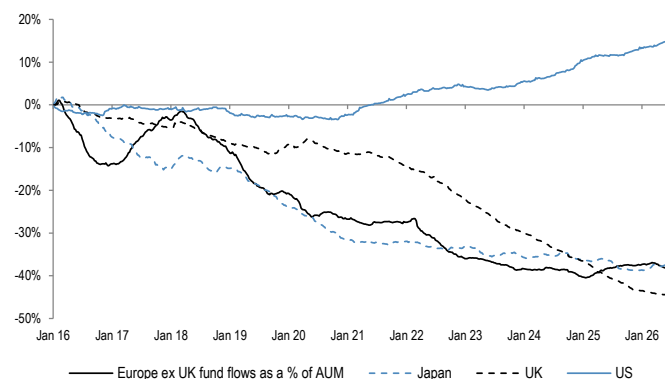
Source: EPFR, as of 27th May, 2026

Figure 31: DM Equity Fund flows – last month



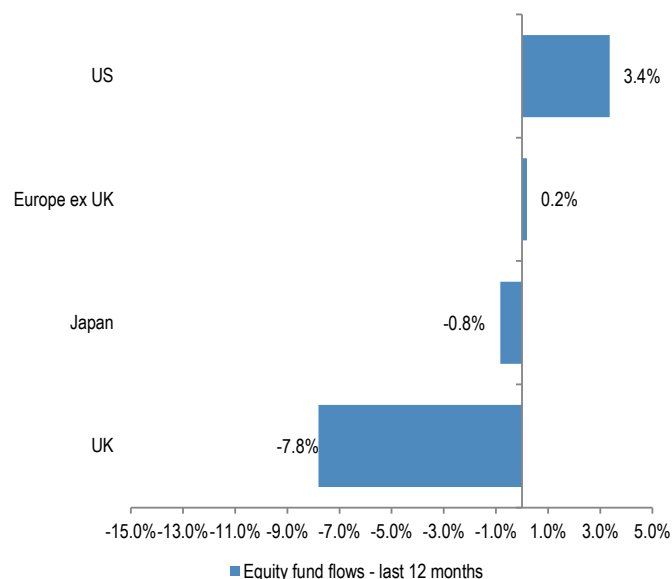
Source: EPFR, Japan includes BoJ purchases.

Figure 33: Cumulative fund flows into regional funds as a percentage of AUM



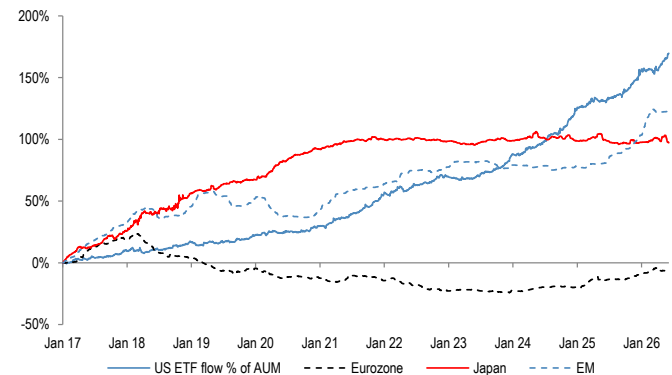
Source: EPFR, as of 27th May, 2026. Japan includes Non-ETF purchases only.

Figure 32: DM Equity Fund flows – last 12 months



Source: EPFR, Japan includes BoJ purchases.

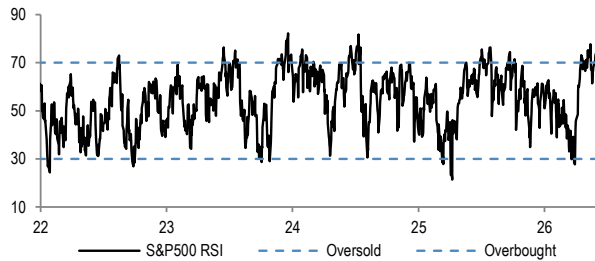
Figure 34: Cumulative fund flows into regional equity ETFs as a percentage of AUM



Source: Bloomberg Finance L.P. *Based on the 25 biggest ETF's with a mandate to invest in that particular region. Japan includes BoJ purchases.

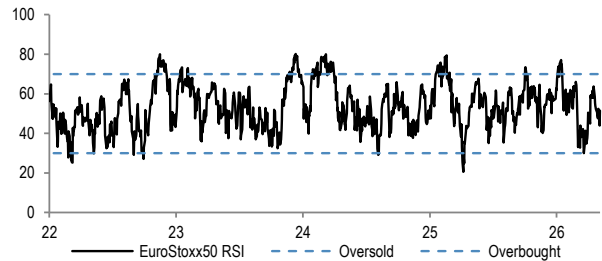
Technical Indicators

Figure 35: S&P500 RSI



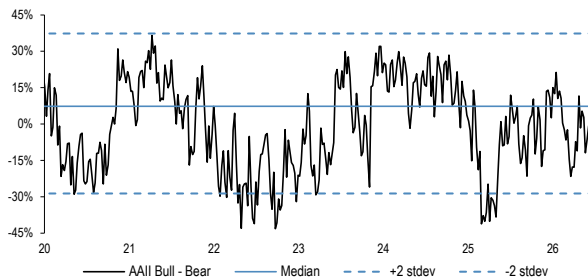
Source: Bloomberg Finance L.P.

Figure 36: EuroStoxx50 RSI



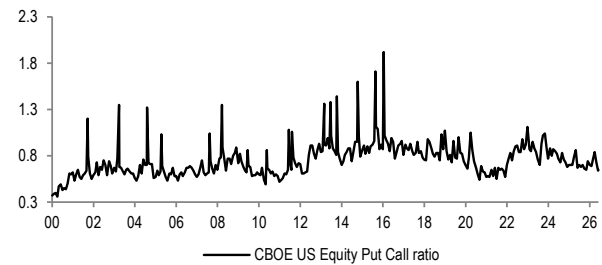
Source: Bloomberg Finance L.P.

Figure 37: AAI Bull-Bear



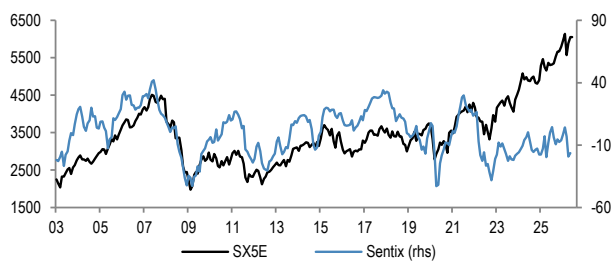
Source: Bloomberg Finance L.P.

Figure 38: Put-call ratio



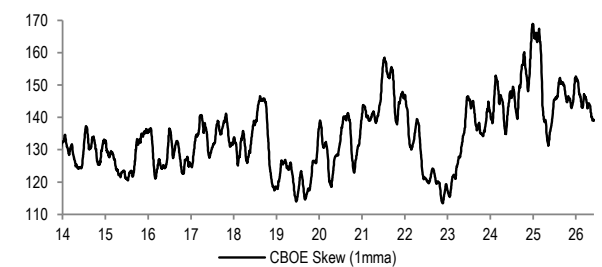
Source: Bloomberg Finance L.P.

Figure 39: Sentix Sentiment Index vs SX5E



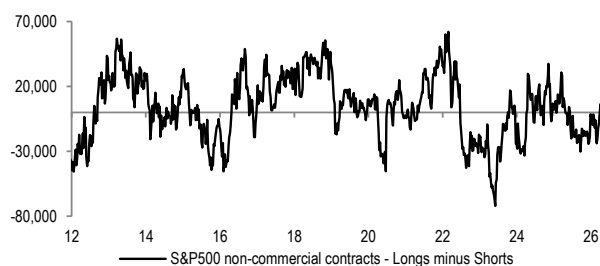
Source: Bloomberg Finance L.P.

Figure 40: Equity Skew



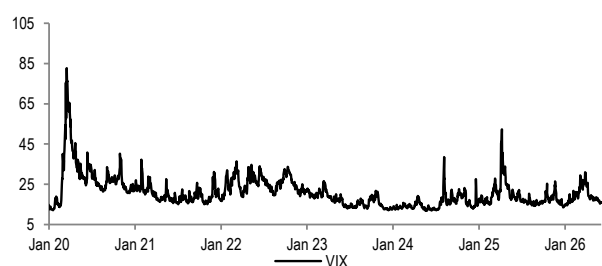
Source: Bloomberg Finance L.P.

Figure 41: Speculative positions in S&P500 futures contracts



Source: Bloomberg Finance L.P.

Figure 42: VIX



Source: Bloomberg Finance L.P.

Performance

Table 11: Sector Index Performances — MSCI Europe

(%change)		Local currency		
Industry Group		4week	12m	YTD
Europe		(0.1)	13.4	4.5
Energy		1.6	45.4	30.9
Materials		2.6	24.4	14.7
	Chemicals	(0.2)	(9.4)	5.2
	Construction Materials	(1.3)	17.0	(10.0)
	Metals & Mining	6.3	99.5	35.8
Industrials		(3.4)	14.5	6.7
	Capital Goods	(4.0)	20.4	9.2
	Transport	5.6	13.8	3.2
	Business Svs	(5.4)	(30.6)	(15.8)
Consumer Discretionary		1.3	(7.5)	(13.1)
	Automobile	(1.3)	(13.3)	(13.3)
	Consumer Durables	0.5	(8.8)	(18.3)
	Media	6.9	(26.9)	(14.3)
	Retailing	(0.1)	1.0	(11.9)
	Hotels, Restaurants & Leisure	9.8	(4.5)	1.4
Consumer Staples		(2.7)	(6.2)	(4.3)
	Food & Drug Retailing	(5.9)	3.6	1.7
	Food Beverage & Tobacco	(2.1)	(5.4)	(1.8)
	Household Products	(3.0)	(11.5)	(11.7)
Healthcare		(2.8)	1.8	(7.0)
Financials		(1.3)	17.4	(0.3)
	Banks	1.3	36.5	4.7
	Diversified Financials	(2.8)	(2.3)	(5.4)
	Insurance	(6.3)	(2.1)	(7.6)
Real Estate		(2.6)	3.1	(0.1)
Information Technology		15.7	53.3	43.6
	Software and Services	6.5	(32.0)	(13.5)
	Technology Hardware	18.6	89.8	63.1
	Semicon & Semicon Equip	18.4	132.9	75.5
Telecommunications Services		1.2	(9.2)	1.0
Utilities		(3.6)	24.5	10.7

Source: MSCI, Datastream, As at COB 3rd Jun, 2026

Table 12: Country and Region Index Performances

(%change)		Local Currency			US\$		
Country	Index	4week	12m	YTD	4week	12m	YTD
Austria	ATX	2.2	37.8	14.5	0.9	40.5	13.2
Belgium	BEL 20	(1.0)	22.2	8.3	(2.2)	24.5	7.1
Denmark	KFX	(3.4)	(18.0)	(7.7)	(4.6)	(16.6)	(8.8)
Finland	HEX 20	6.0	40.1	18.4	4.7	42.8	17.1
France	CAC 40	(1.8)	5.0	0.0	(3.0)	7.0	(1.1)
Germany	DAX	(0.5)	2.9	1.2	(1.7)	4.9	0.1
Greece	ASE General	2.3	29.0	10.9	1.0	31.4	9.7
Ireland	ISEQ	1.4	14.6	0.1	0.1	16.8	(1.0)
Italy	FTSE MIB	0.7	24.9	11.3	(0.6)	27.3	10.1
Japan	Topix	7.2	44.2	17.2	4.7	29.6	14.9
Netherlands	AEX	1.2	13.4	9.7	(0.0)	15.6	8.5
Norway	OBX	(0.5)	25.1	19.0	(0.9)	36.3	29.0
Portugal	BVL GEN	(2.0)	21.6	10.1	(3.2)	23.9	8.8
Spain	IBEX 35	0.4	28.6	5.0	(0.8)	31.1	3.8
Sweden	OMX	(0.8)	26.0	8.7	(2.6)	29.0	6.8
Switzerland	SMI	(0.5)	8.0	(0.4)	(1.9)	12.5	(0.1)
United States	S&P 500	2.6	26.5	10.3	2.6	26.5	10.3
United States	NASDAQ	3.9	38.4	15.5	3.9	38.4	15.5
United Kingdom	FTSE 100	(1.0)	17.6	4.0	(2.2)	16.8	3.9
EMU	MSCI EMU	0.7	15.0	6.4	(0.6)	17.2	5.2
Europe	MSCI Europe	(0.1)	13.4	4.5	(1.3)	15.3	3.8
Global	MSCI AC World	2.4	24.6	9.6	2.0	24.5	9.4

Source: MSCI, Datastream, As at COB 3rd Jun, 2026

Earnings

Table 13: IBES Consensus EPS Sector Forecasts — MSCI Europe

	EPS Growth (%yoy)			
	2025E	2026E	2027E	2028E
Europe	(0.4)	17.1	10.4	10.1
Energy	(14.0)	64.2	(11.9)	(1.0)
Materials	(9.4)	33.3	8.3	5.4
Chemicals	(6.6)	10.4	7.2	9.9
Construction Materials	(22.3)	9.7	12.6	11.6
Metals & Mining	(6.1)	62.7	7.2	1.0
Industrials	8.7	10.4	14.8	13.6
Capital Goods	10.8	12.5	15.7	13.8
Transport	(1.7)	(3.9)	11.8	13.4
Business Svs	6.0	10.6	10.5	11.2
Discretionary	(59.4)	136.8	18.8	15.4
Automobile	(129.4)	-	25.6	17.0
Consumer Durables	(6.4)	8.3	14.6	14.1
Media	20.2	9.4	14.6	13.3
Retailing	23.0	11.0	14.2	14.7
Hotels, Restaurants & Leisure	14.6	4.7	15.3	13.9
Staples	(1.8)	3.2	7.7	7.3
Food & Drug Retailing	1.1	9.7	8.7	8.2
Food Beverage & Tobacco	(1.5)	2.5	7.7	7.6
Household Products	(4.0)	2.3	7.1	5.8
Healthcare	9.3	4.0	9.6	10.7
Financials	9.8	9.5	12.7	10.7
Banks	12.8	8.0	13.2	11.6
Diversified Financials	(9.5)	21.8	18.4	13.0
Insurance	14.2	7.1	8.1	6.8
Real Estate	11.6	1.7	3.6	5.6
IT	11.9	16.0	26.5	16.4
Software and Services	24.6	11.7	17.2	17.1
Technology Hardware	4.5	(8.4)	12.7	10.5
Semicon & Semicon Equip	7.0	31.2	37.2	17.7
Telecoms	8.5	9.0	13.3	11.0
Utilities	0.8	6.6	7.3	7.0

Source: IBES, MSCI, Datastream. As at COB 3rd Jun, 2026

Table 14: IBES Consensus EPS Country Forecasts

Country	Index	EPS growth (%change)			
		2025E	2026E	2027E	2028E
Austria	ATX	9.3	22.1	9.9	7.7
Belgium	BEL 20	18.1	10.2	15.0	13.1
Denmark	Denmark KFX	(0.7)	(1.5)	3.9	11.1
Finland	MSCI Finland	4.1	15.9	11.8	10.4
France	CAC 40	(22.8)	43.9	9.8	10.1
Germany	DAX	2.7	6.0	14.5	13.2
Greece	MSCI Greece	(1.1)	12.5	11.9	10.3
Ireland	MSCI Ireland	7.2	(2.3)	12.0	13.1
Italy	MSCI Italy	(35.5)	81.1	10.1	10.1
Netherlands	AEX	(19.2)	33.3	10.1	9.6
Norway	MSCI Norway	(12.9)	48.7	(5.6)	1.2
Portugal	MSCI Portugal	24.3	18.3	2.7	5.4
Spain	IBEX 35	5.6	9.5	11.6	9.7
Sweden	OMX	(3.5)	4.6	9.0	8.2
Switzerland	SMI	6.6	7.4	10.4	9.3
United Kingdom	FTSE 100	6.8	17.9	7.8	8.3
EMU	MSCI EMU	(4.0)	19.7	12.3	11.4
Europe ex UK	MSCI Europe ex UK	(2.5)	16.4	11.5	10.8
Europe	MSCI Europe	(0.4)	17.1	10.4	10.1
United States	S&P 500	13.5	24.0	17.4	13.9
Japan	Topix	11.0	10.7	11.6	10.2
Emerging Market	MSCI EM	10.2	56.1	19.7	10.7
Global	MSCI AC World	10.2	26.1	15.7	12.2

Source: IBES, MSCI, Datastream. As at COB 3rd Jun, 2026**Japan refers to the period from March in the year stated to March in the following year— EPS post-goodwill

Valuations

Table 15: IBES Consensus European Sector Valuations

	P/E			Dividend Yield			EV/EBITDA			Price to Book		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Europe	15.3	13.9	12.6	3.2%	3.4%	3.7%	9.2	8.5	7.9	2.3	2.1	2.0
Energy	8.7	9.9	10.0	4.2%	4.4%	4.6%	3.6	3.9	4.0	1.5	1.4	1.3
Materials	17.3	15.9	15.1	2.9%	3.0%	3.2%	8.2	7.7	7.3	2.1	2.0	1.9
Chemicals	20.8	19.5	17.7	2.9%	3.0%	3.1%	11.0	10.4	9.7	2.2	2.1	2.0
Construction Materials	16.6	14.7	13.2	2.3%	2.5%	2.8%	9.2	8.2	7.4	1.8	1.7	1.5
Metals & Mining	15.2	14.2	14.0	2.8%	3.0%	3.2%	6.8	6.4	6.2	2.3	2.1	2.0
Industrials	22.7	19.8	17.5	2.1%	2.3%	2.5%	12.0	10.7	9.7	4.0	3.7	3.3
Capital Goods	24.1	20.8	18.4	1.9%	2.1%	2.4%	13.2	11.5	10.4	4.6	4.2	3.6
Transport	17.6	15.7	13.8	2.8%	3.0%	3.1%	8.1	7.7	7.2	1.9	1.8	1.7
Business Svs	16.3	14.8	13.3	3.1%	3.4%	3.7%	10.8	9.9	9.0	4.9	4.6	4.4
Discretionary	15.2	12.8	11.1	2.7%	3.0%	3.3%	6.8	5.7	5.0	1.9	1.8	1.6
Automobile	8.7	6.9	5.9	4.2%	5.0%	5.7%	1.9	1.6	1.2	0.6	0.6	0.6
Consumer Durables	23.1	20.2	17.7	2.3%	2.4%	2.6%	14.0	11.1	10.2	3.6	3.3	3.1
Media & Entertainment	19.4	16.9	14.9	1.6%	1.8%	1.9%	13.3	11.7	9.7	4.6	4.1	3.6
Retailing	14.1	12.4	10.8	2.4%	2.6%	2.9%	12.5	11.3	9.7	3.6	3.2	2.8
Hotels, Restaurants & Leisure	19.7	17.1	15.0	2.5%	2.8%	3.0%	10.2	9.5	8.5	4.9	4.5	4.1
Staples	15.7	14.6	13.6	3.5%	3.7%	3.9%	10.3	9.4	8.8	2.8	2.7	2.5
Food & Drug Retailing	12.9	11.8	10.9	3.9%	4.1%	4.4%	6.6	6.1	5.7	1.9	1.8	1.7
Food Beverage & Tobacco	15.8	14.6	13.6	3.7%	3.9%	4.2%	10.6	9.7	9.1	2.6	2.5	2.4
Household Products	16.9	15.8	14.9	3.0%	3.1%	3.3%	12.0	10.8	10.2	3.9	3.6	3.4
Healthcare	15.1	13.8	12.5	2.7%	2.9%	3.1%	12.0	10.8	9.8	3.0	2.8	2.5
Financials	10.8	9.6	8.7	4.8%	5.2%	5.7%	-	-	-	1.5	1.4	1.3
Banks	10.2	9.0	8.1	5.2%	5.7%	6.3%	-	-	-	1.3	1.3	1.2
Diversified Financials	12.6	10.6	9.4	3.0%	3.2%	3.5%	-	-	-	1.5	1.4	1.3
Insurance	11.3	10.5	9.8	5.4%	5.8%	6.2%	-	-	-	1.9	1.8	1.7
Real Estate	12.6	12.4	12.0	5.2%	5.4%	5.5%	-	-	-	0.7	0.7	0.7
IT	37.0	29.3	25.2	0.9%	1.0%	1.1%	20.2	15.9	13.2	6.8	6.1	5.3
Software and Services	23.3	19.9	17.0	1.5%	1.7%	1.9%	13.8	10.8	8.7	3.7	3.5	3.1
Technology Hardware	29.6	26.2	23.8	1.4%	1.5%	1.6%	12.0	11.9	10.9	3.8	3.6	3.4
Semicon & Semicon Equip	48.6	35.4	30.1	0.6%	0.7%	0.8%	29.3	21.6	18.4	12.9	10.9	8.8
Communication Services	16.5	14.5	13.1	3.3%	3.6%	3.9%	6.8	6.4	6.0	2.2	2.1	2.0
Utilities	15.7	14.6	13.6	4.0%	4.2%	4.4%	9.7	9.4	9.1	2.0	1.9	1.8

Source: IBES, MSCI, Datastream. As at COB 3rd Jun, 2026.

Table 16: IBES Consensus P/E and 12-Month Forward Dividend Yields — Country Forecasts

Country	Index	P/E				Dividend Yield
		12mth Fwd	2026E	2027E	2028E	12mth Fwd
Austria	ATX	10.8	11.3	10.2	9.5	4.1%
Denmark	Denmark KFX	15.0	15.3	14.7	13.2	3.0%
Finland	MSCI Finland	22.9	24.0	21.5	19.5	2.8%
France	CAC 40	14.1	14.6	13.3	12.1	3.4%
Germany	DAX	13.9	14.8	12.9	11.4	3.1%
Greece	MSCI Greece	18.7	19.6	17.5	15.9	2.8%
Ireland	MSCI Ireland	12.4	12.9	11.6	10.2	3.3%
Italy	MSCI Italy	12.2	12.8	11.6	10.5	4.8%
Netherlands	AEX	16.1	16.7	15.2	13.9	2.3%
Norway	MSCI Norway	11.9	11.6	12.3	12.2	5.0%
Portugal	MSCI Portugal	13.7	13.8	13.5	12.8	3.8%
Spain	IBEX 35	13.7	14.3	12.8	11.7	3.9%
Sweden	OMX	17.5	18.2	16.7	15.4	3.2%
Switzerland	SMI	17.2	17.9	16.2	14.8	3.1%
United Kingdom	FTSE 100	12.4	12.8	11.8	10.9	3.5%
EMU	MSCI EMU	14.9	15.7	14.0	12.6	3.2%
Europe ex UK	MSCI Europe ex UK	15.6	16.3	14.6	13.2	3.1%
Europe	MSCI Europe	14.7	15.3	13.9	12.6	3.2%
United States	S&P 500	21.2	23.0	19.6	17.2	1.1%
Japan	Topix	17.0	17.3	15.5	14.2	2.2%
Emerging Market	MSCI EM	11.9	12.8	11.2	9.7	2.3%
Global	MSCI AC World	18.0	19.3	16.8	14.9	1.7%

Source: IBES, MSCI, Datastream. As at COB 3rd Jun, 2026; **Japan refers to the period from March in the year stated to March in the following year-P/E post goodwill.

Economic, Interest Rate and Exchange Rate Outlook

Table 17: Economic Outlook in Summary

	Real GDP % oya			Real GDP						Consumer prices % oya			
	2025	2026E	2027E	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.0	2.0	2.0	2.0	1.5	1.7	2.3	2.3	2.7	4.1	4.0	2.1
Eurozone	1.5	0.7	1.2	0.6	0.3	1.0	1.3	1.3	1.5	2.1	3.1	3.2	2.0
United Kingdom	1.4	1.2	1.0	2.5	1.0	0.5	1.0	1.2	1.0	3.4	2.9	3.7	3.1
Japan	1.1	0.7	0.7	2.1	0.2	1.0	0.8	0.8	0.7	2.7	1.8	2.6	2.9
Emerging markets	4.2	4.0	3.6	4.8	3.7	3.2	3.1	3.9	3.9	2.8	3.6	3.6	2.9
Global	2.8	2.5	2.4	2.9	2.3	2.1	2.2	2.6	2.7	2.7	3.5	3.6	2.5

Source: J.P. Morgan Economic Research estimates, as of 27th May, 2026

Table 18: Official Rates Outlook

	Official interest rate	Current	Last change (bp)	Forecast next change (bp)	Forecast for			
					Jun 26	Sep 26	Dec 26	Mar 27
United States	Federal funds rate	3.75	10 Dec 25 (-25bp)	Sep 27 (+25bp)	3.75	3.75	3.75	3.75
Eurozone	Depo rate	2.00	5 Jun 25 (-25bp)	Jun 26 (+25bp)	2.25	2.50	2.50	2.50
United Kingdom	Bank Rate	3.75	7 Aug 25 (-25bp)	Jul 26 (+25bp)	3.75	4.00	4.00	4.00
Japan	Pol rate IOER	0.75	19 Dec 25 (+25bp)	Jun 26 (+25bp)	1.00	1.00	1.25	1.25

Source: J.P. Morgan estimates, Datastream, as of 27th May, 2026

Table 19: 10-Year Government Bond Yield Forecasts

10 Yr Govt BY	Forecast for end of				
	4-Jun-26	Jun 26	Sep 26	Dec 26	Mar 27
US	4.48	4.40	4.45	4.50	4.55
Euro Area	3.02	2.95	2.90	2.85	2.75
United Kingdom	4.90	4.70	4.75	4.75	4.70
Japan	2.67	2.85	2.95	2.95	2.95

Source: J.P. Morgan estimates, Datastream, forecasts as of 27th May, 2026

Table 20: FX forecasts

Exchange rates vs US\$	Forecast for end of				
	3-Jun-26	Jun 26	Sep 26	Dec 26	Mar 27
EUR	1.16	1.17	1.15	1.14	1.13
GBP	1.34	1.34	1.31	1.28	1.30
CHF	0.79	0.78	0.79	0.80	0.81
JPY	160	158	160	164	164
DXY	99.5	98.6	100.2	101.5	101.8

Source: J.P. Morgan estimates, Datastream, forecasts as of 27th May, 2026

Sector, Regional and Asset Class Allocations

Table 21: J.P. Morgan Equity Strategy — European Sector Allocation

		MSCI Europe Weights	Allocation	Deviation	Recommendation
Energy		5.0%	4.0%	-1.0%	UW
Materials		5.6%	8.0%	2.4%	OW
	Chemicals				N
	Construction Materials				OW
	Metals & Mining				OW
Industrials		19.2%	21.0%	1.8%	OW
	Capital Goods				OW
	Transport				N
	Business Services				N
Consumer Discretionary		5.2%	8.0%	2.8%	OW
	Automobile				N
	Consumer Durables				OW
	Consumer Svcs				N
	Specialty Retail				N
	Internet Retail				N
Consumer Staples		8.5%	7.0%	-1.5%	UW
	Food & Drug Retailing				UW
	Beverages				UW
	Food & Tobacco				UW
	Household Products				UW
Healthcare		12.9%	12.0%	-0.9%	N
Financials		23.8%	22.0%	-1.8%	N
	Banks				N
	Insurance				UW
Real Estate		0.7%	1.0%	0.3%	N
Information Technology		9.4%	7.0%	-2.4%	N
	Software and Services				UW
	Technology Hardware				N
	Semicon & Semicon Equip				OW
Communication Services		4.8%	4.0%	-0.8%	N
	Telecommunication Services				N
	Media				UW
Utilities		5.0%	6.0%	1.0%	N
		100.0%	100.0%	0.0%	Balanced

Source: MSCI, Datastream, J.P. Morgan.

Table 22: J.P. Morgan Equity Strategy — Global Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
EM	11.8%	14.0%	2.2%	Overweight
DM	88.2%	86.0%	-2.2%	Underweight
US	72.7%	73.0%	0.3%	Neutral
Japan	5.7%	6.0%	0.3%	Neutral
Eurozone	8.8%	11.0%	2.2%	Overweight
UK	3.6%	3.0%	-0.6%	Neutral
Others*	9.1%	7.0%	-2.1%	Underweight
	100.0%	100.0%	0.0%	Balanced

Source: MSCI, J.P. Morgan *Other includes Denmark, Switzerland, Australia, Canada, Hong Kong SAR, Sweden, Singapore, New Zealand, Israel and Norway

Table 23: J.P. Morgan Equity Strategy — European Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
Eurozone	54.1%	58.0%	3.9%	Overweight
United Kingdom	22.5%	21.0%	-1.5%	Neutral
Others**	23.4%	21.0%	-2.4%	Underweight
	100.0%			Balanced

Source: MSCI, J.P. Morgan **Other includes Denmark, Switzerland, Sweden and Norway

Table 24: J.P. Morgan Equity Strategy — Asset Class Allocation

	Benchmark weighting	Allocation	Deviation	Recommendation
Equities	60%	65%	5%	Overweight
Bonds	30%	30%	0%	Neutral
Cash	10%	5%	-5%	Underweight
	100%	100%	0%	Balanced

Source: MSCI, J.P. Morgan



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